4 Dental Practice Metrics You Should Be Tracking

The four numbers that show where revenue is slipping

A treatment plan can be clinically perfect and still leave money on the table. These four numbers tell you, in one page, whether your front office and your billing are holding the line. Check them monthly and keep the history so you can see direction, not just a snapshot.

1. Collection ratio

- [ ] Collections divided by production, for the same period. Write both numbers down, not just the percentage.
- [ ] Track it twice: against expected production at fee schedule, and against billed production at your own fees.
- [ ] A ratio under 95 percent of expected usually means estimates, verification or patient balances are leaking.
- [ ] Break it out per provider when one dentist's ratio drags the practice average.
- [ ] Compare the same month last year before you call a change a trend.

2. Days in accounts receivable

- [ ] Total A/R divided by average daily collections. Healthy dental practices sit around 30 to 40 days.
- [ ] Separate insurance A/R from patient A/R; they age for different reasons and need different fixes.
- [ ] Watch the direction week over week. A single rising number predicts cash problems a month ahead.
- [ ] Exclude credit balances and unsettled claims from the calculation, or the figure lies to you.
- [ ] If the number is climbing, the fix is upstream at submission, not downstream at follow-up.

3. A/R aged over 90 days

- [ ] Age the report in buckets: 0-30, 31-60, 61-90, over 90, over 120, over 180.
- [ ] Over-90 should be under 15 percent of total A/R. Anything higher is a follow-up process failure.
- [ ] Split it by reason: unpaid claim, denied claim, attachment pending, patient responsibility, unposted payment.
- [ ] Identify which claims are close to losing timely filing and work those first, regardless of bucket.
- [ ] Sample ten claims from the oldest bucket monthly and find the step where they stalled.

4. Denial and rework rate

- [ ] Count claims that came back denied, reduced or requesting documentation, divided by claims submitted.
- [ ] Group by reason code, not by payer, so you see the mistake rather than the messenger.
- [ ] Track first-pass acceptance separately: that is the number your front-end work actually controls.
- [ ] Measure rework hours, not just dollars, and put a labour cost on the reasons at the top of the list.
- [ ] Fix one reason per month and re-check the rate the following month before adding another project.

5. Make the numbers mean something

- [ ] Put all four on one page, same period, same person, reviewed on the same day each month.
- [ ] Write the previous value next to the current one; a number with no history is just an opinion.
- [ ] Attach one action to any metric that moves the wrong way, with an owner and a date.
- [ ] Share the trend with the front office. Verification and estimates drive three of these four numbers.

Bottom line: You cannot fix what you only look at once a year. These four numbers are cheap to pull and they tell you, weeks early, whether the practice is getting paid or quietly bleeding revenue.